

SOFR & Fed Rate Path Dynamics

Implied path from Treasury bill yields · Event-study around FOMC

3.64%	3.50% - 3.75%	3.72%	+0.3 ×25bp	2.48%
Effective Fed Funds	Target range	1Y T-bill (implied avg)	Implied cuts (1Y)	10Y breakeven

Methodology

Treasury bill and short-term note yields are the cleanest free proxy for the market-implied rate path:

- 3M T-bill ≈ expected Fed Funds over the next quarter
- 6M T-bill ≈ expected average over 6 months
- 1Y T-note ≈ expected average Fed Funds over 1 year
- 2Y T-note ≈ 2-year expectation + small term premium

Implied cuts = $(1Y \text{ yield} - \text{current DFF}) \div 0.25$

A negative number means hikes are priced.

Warsh context

Nomination date (2025-11-13) is annotated on all time-series charts.
The key question: did the implied rate path re-price upward (hawkish Warsh premium) or downward (growth/recession concerns)?

Implied Rate Path Evolution

Implied rate path via T-bill/note yields · FOMC dates (dotted)

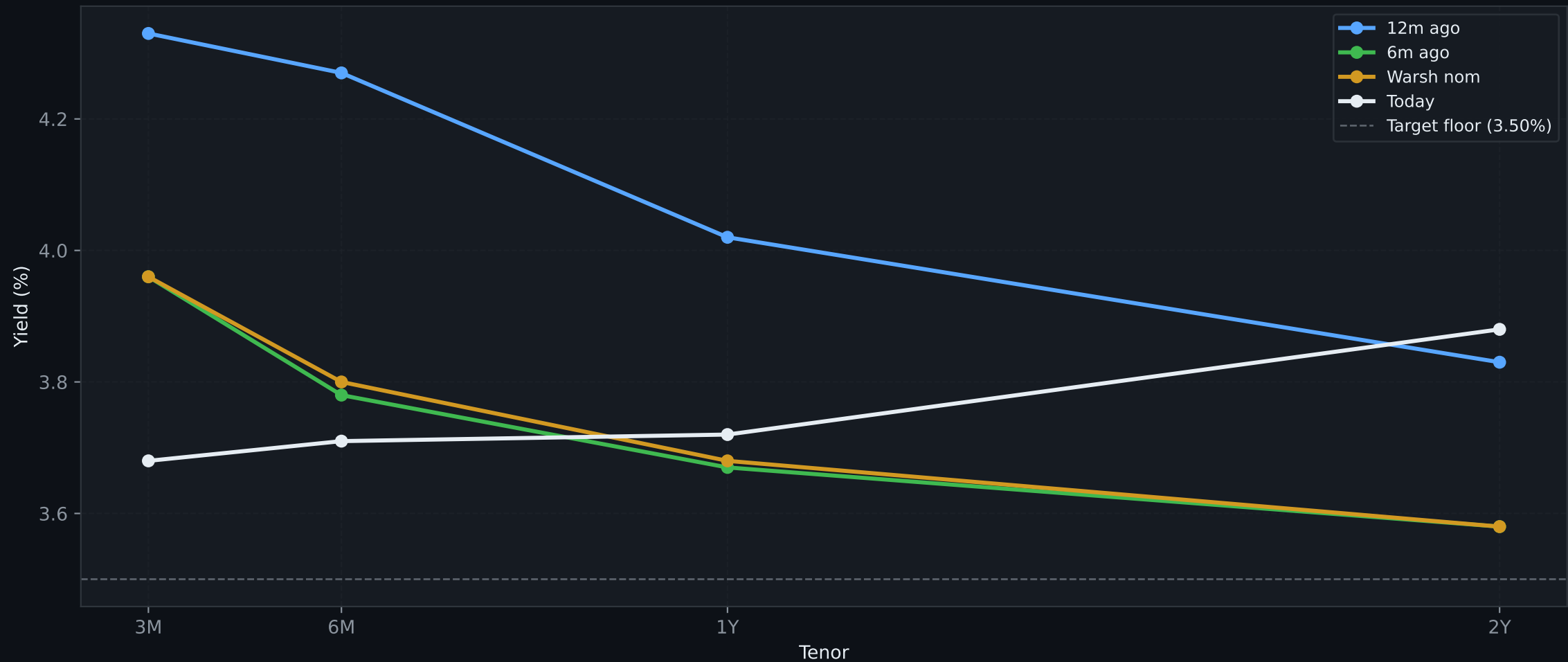


Implied 25bp cuts priced by 1Y T-bill (vs current DFF)



Forward Curve Snapshots — How the Rate Path Re-Priced

Implied forward curve at key dates
(shape = slope of expected rate path)

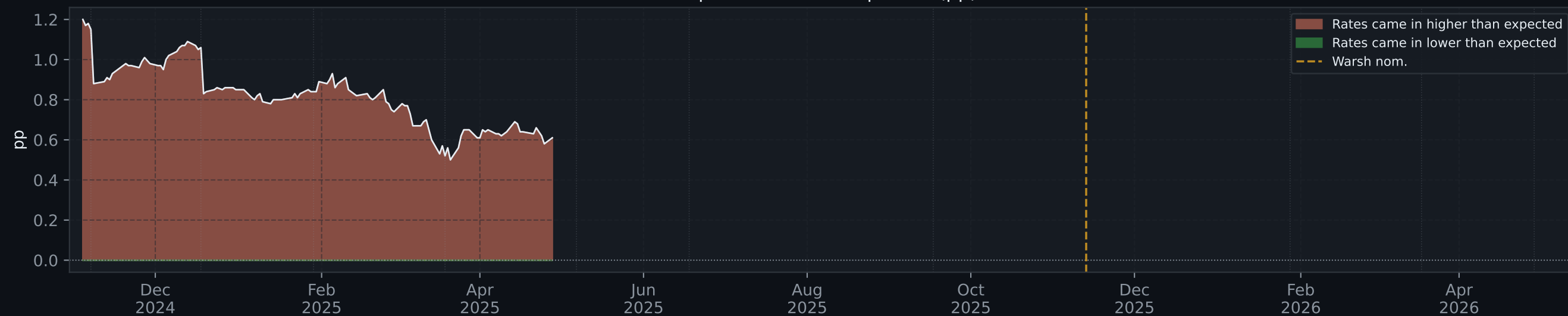


Actual Path vs Market Expectations — Forecast Errors

Actual Fed Funds vs 1Y forward priced 12 months prior

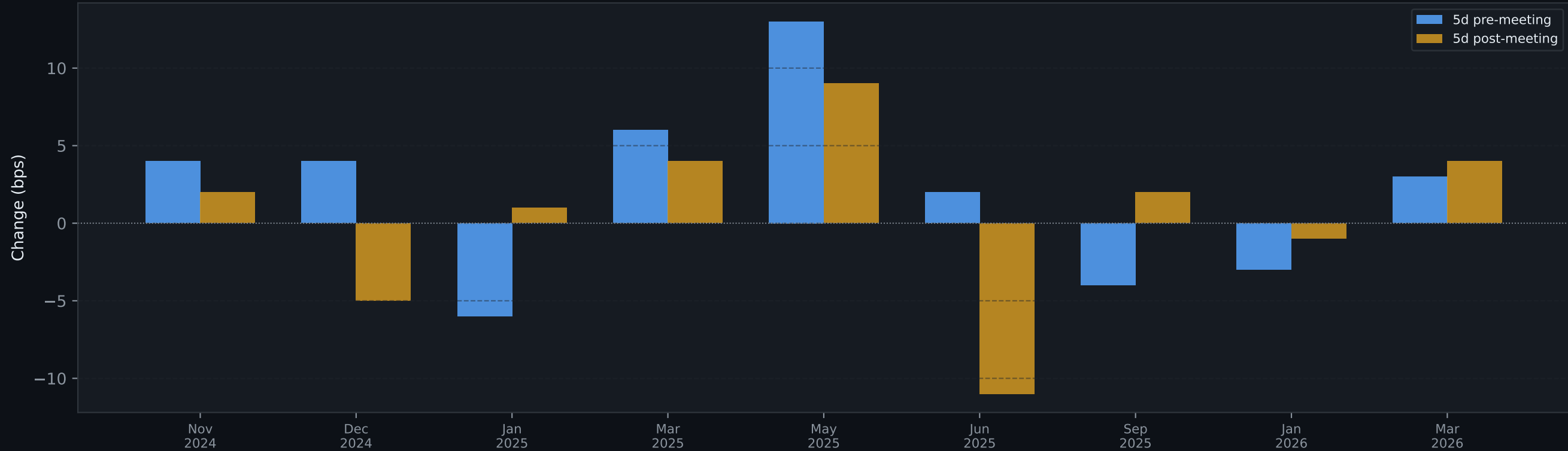


Surprise: actual — expected (pp)



FOMC Event Study — Rate Surprises

1Y T-bill yield change around FOMC meetings (bps)



Net hawkish/dovish surprise (post – pre, bps) · green = dovish



Nominal vs Real Rates and Breakeven Inflation

Nominal 10Y, Breakeven Inflation, and Real Rate



Real rate as % of nominal 10Y yield



Rate Path Summary

Metric	Current	6m ago	12m ago	Δ 12m
3M T-bill	3.68%	3.96%	4.33%	-0.65pp
6M T-bill	3.71%	3.78%	4.27%	-0.56pp
1Y T-note	3.72%	3.67%	4.02%	-0.30pp
2Y T-note	3.88%	3.58%	3.83%	+0.05pp
Effective DFF	3.64%	—	—	—
Target range	3.50–3.75%	—	—	—
Implied cuts (1Y)	+0.3 × 25bp	—	—	—